

Index of Eight Core Industries (ICI) for April 2025

The **Index** of **Eight Core Industries** (ICI) for April 2025 released by the Department for Promotion of Industry and Internal Trade **shows** that the monthly growth rate of the index fell to a nine-month low of just 0.5 per cent. In other words, the index grew just 0.5 per cent in April this year over the same month last year. This index comprises the eight most fundamental industrial sectors of the economy — coal, natural gas, crude oil, refinery products (such as petrol and diesel), fertilisers, steel, cement and electricity (with differing **weights**) — and it **maps** the volume of production in these industries. The eight core industries **comprise** 40.27 per cent **of** the weight of items included in the **Index of Industrial Production** (IIP). Since these eight industries essentially serve the role of a basic and/or intermediate **ingredient** in the functioning of the broader economy, this index's health is important to the **state** of the economy.

The performance in April suggests a sharp loss of growth **momentum** relative to the **preceding** months. **For instance**, the index had grown by 4.6 per cent in March. In comparison, **data** from the index **shows** that of the eight industries, six experienced a weakness in growth momentum. The worst affected set of industries was refinery products, which incidentally have the highest weightage in the index (almost 30 per cent), as they **clocked** a negative growth rate (a **contraction**) of 4.5 per cent; it is the poorest showing since November 2022. Crude oil and fertilisers also **witnessed** contraction while the electricity index grew by just 1 per cent. Apart from the data for April, also **noteworthy** was the data for the full financial year that ended in March. In 2024-25, the core industries index grew by 4.5 per cent; this is the slowest increase since the post-pandemic recovery in 2021-22.

At one level, the **slowdown** in April is understandable. The global economy received the shock of President Donald Trump's **reciprocal tariffs** and the **ensuing surge** of uncertainty has meant that most economic and financial **metrics** across the world have shown some **impairment**. However, the **weakness**, and especially the **sharpness** of it, and that too both in April and in the full year data for FY24, **points to** domestic **causes** as well. If these eight industries are not growing fast enough, the rest of the economy is **unlikely** to, either. **Given** the **tepid** start to the year, observers such as the Centre for Monitoring Indian Economy (CMIE) are **dialling down** the **forecasts** for both the June quarter as well as the full financial year. Readers and policymakers should **watch out** for two other data sets due to be released in days to come — the IIP and the GDP — to better understand the current state of the economy.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- **Map** (verb) – record in detail the spatial distribution of (something). खाका बनाना

Vocabulary

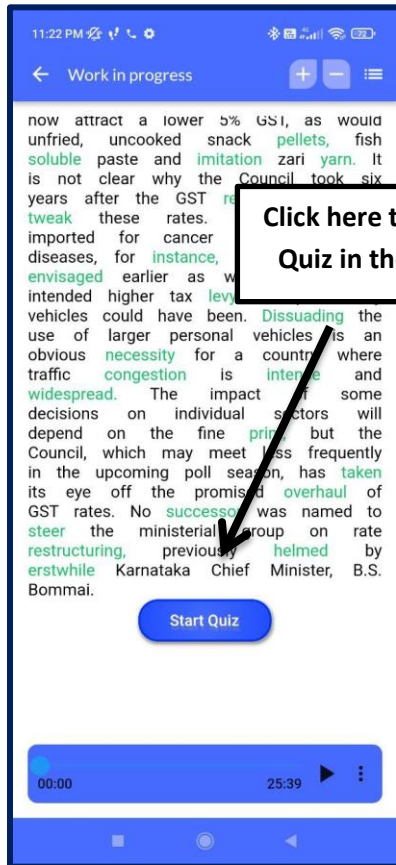
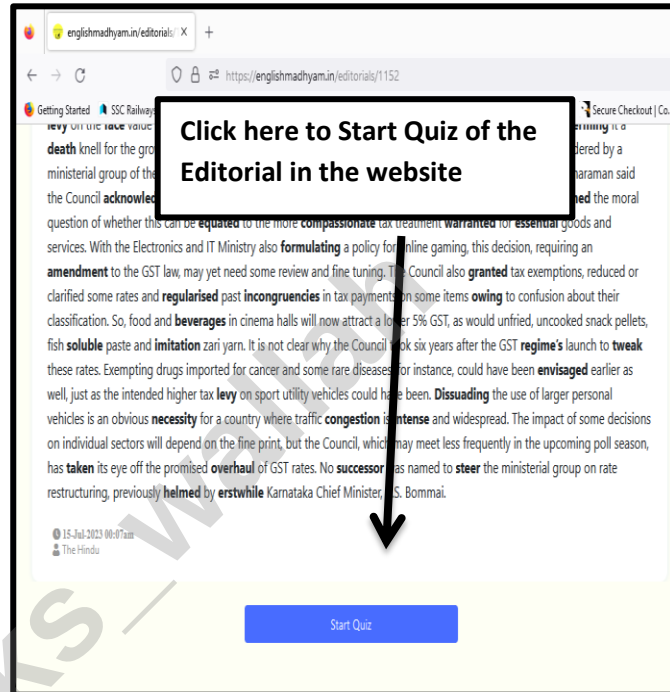
1. **Eight Core Industries** (noun) – Coal, Crude Oil, Natural Gas, Refinery Products, Fertilizers, Steel, Cement, and Electricity
आठ प्रमुख उद्योग
2. **Weight** (noun) – it refers to what weightage something carries out of the total. For example:- in an exam there is 5 subject of total marks 100 out of which English subject 20 marks so the weightage of English is 20%. महत्व
3. **Comprise** (of) (verb) – consist of, include, contain, be made up of, encompass शामिल होना
4. **The Index of Industrial Production (IIP)** (noun) – a key economic indicator that measures the rate of growth in an economy's various industrial sectors over a specific period
5. **Ingredient** (noun) – component, element, constituent, part, material घटक
6. **State** (noun) – condition, situation, status, shape, phase स्थिति
7. **Momentum** (noun) – drive, impetus, thrust, velocity, pace गति
8. **Preceding** (adjective) – previous, prior, earlier, former, antecedent पूर्ववर्ती
9. **For instance** (phrase) – for example, such as, to illustrate, like, namely उदाहरण के लिए
10. **Clock** (verb) – record, achieve, register, reach, attain दर्ज करना
11. **Contraction** (noun) – reduction, decline, shrinkage, downturn, cutback कमी
12. **Witness** (verb) – observe, experience, see, undergo, encounter देखना
13. **Noteworthy** (adjective) – significant, important, remarkable, notable, striking उल्लेखनीय
14. **Slowdown** (noun) – deceleration, slump, dip, recession, retardation मंदी
15. **Reciprocal tariff** (noun) – a tax or trade restriction that one country places on another in response to similar actions taken by that country. पारस्परिक शुल्क
16. **Ensuing** (adjective) – resulting, following, subsequent, succeeding, consequent परिणामी
17. **Surge** (noun) – rise, spike, jump, upswing, increase उछाल
18. **Metric** (noun) – measure, indicator, standard, parameter, benchmark मापदंड
19. **Impairment** (noun) – weakening, damage, reduction, degradation, hindrance ह्रास / क्षति
20. **Sharpness** (noun) – intensity, severity, abruptness, steepness, acuteness तीव्रता

21. **Point to** (phrasal verb) – indicate, suggest, signal, show, refer to संकेत देना
22. **Cause** (noun) – reason, source, basis, justification, trigger कारण
23. **Unlikely** (adjective) – improbable, doubtful, questionable, remote, implausible असंभव / संभव नहीं
24. **Given** (preposition) – considering, in view of, taking into account, owing to, granted को ध्यान में रखते हुए
25. **Tepid** (adjective) – weak, unenthusiastic, mild, lukewarm, indifferent धीमा / सुस्त
26. **Dial down** (phrasal verb) – reduce, lower, tone down, cut back, moderate कम करना
27. **Forecast** (noun) – prediction, projection, outlook, estimate, prognosis पूर्वानुमान
28. **Watch out** (phrasal verb) – be alert, be cautious, observe, look out, pay attention ध्यान देना

Summary of the Editorial

1. The Index of Eight Core Industries (ICI) for April 2025 shows a growth rate of just **0.5%**, the **lowest in nine months**.
2. This indicates a significant **slowdown in industrial growth** compared to April 2024.
3. The ICI includes eight key sectors: **coal, natural gas, crude oil, refinery products, fertilisers, steel, cement, and electricity**.
4. These sectors constitute **40.27%** of the **Index of Industrial Production (IIP)**.
5. Their performance is critical as they are fundamental to the broader **economic production chain**.
6. Compared to a **4.6% growth in March**, the April figure reflects a **sharp loss of momentum**.
7. **Six out of eight** industries showed **weakened growth**, highlighting widespread underperformance.
8. **Refinery products**, with the **highest weight (30%)**, saw a **4.5% contraction** — the worst since **November 2022**.
9. **Crude oil** and **fertilisers** also recorded **negative growth**, worsening the overall index performance.
10. **Electricity** grew by a marginal **1%**, indicating sluggish demand or production constraints.
11. For the entire financial year **2024-25**, ICI grew **4.5%**, the **slowest growth** since **2021-22** post-pandemic recovery.
12. The slowdown can partly be attributed to global factors, especially **economic uncertainty** following **President Trump's reciprocal tariffs**.
13. However, the **severity and persistence** of the slowdown suggest significant **domestic structural issues**.
14. A sluggish core industry performance suggests that **overall economic growth** may also be under pressure.
15. Analysts, including **CMIE**, have lowered growth forecasts for the **June quarter** and **FY25**, and await upcoming **IIP and GDP data** for a clearer economic outlook.

Practice Exercise: Banking Pattern Based

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